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PERSONAL FINANCE • TAXES • TAX REPORT

How to Get All the Tax Benefits From Your Health-Savings Account

An HSA can cushion the blow of medical expenses, but it's also a tax-favored investment vehicle



By Laura Saunders

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Health savings accounts continue to gain ground with Americans. And with good reason, because they offer triple tax benefits.

No wonder there were nearly 43 million HSAs as of June 30 compared with about 32 million at the end of 2021, according to new data from HSA consulting firm Devenir.

And while the accounts aren't new, this is a good time of year to delve into HSA rules and wrinkles. That's because healthcare plan open enrollment is coming soon for many employees, and favorable changes have taken effect

for many self-employed workers and early retirees. Plus, some HSA benefits become more relevant as Boomers age.

“These accounts are the most tax-efficient way to save for healthcare expenses during retirement, especially Medicare premiums,” says Roy Ramthun, an HSA specialist.

To begin with, HSAs are tax-favored savings accounts that are paired with high-deductible health insurance. They’re available both to employees through workplace plans and to many individual buyers using ACA (Obamacare) coverage.

By law, the insurance portion has to meet certain standards, such as annual out-of-pocket maximums and minimum deductibles. The overall aim is to protect users from ruinous health costs while encouraging them to spend out-of-pocket health dollars wisely.

Deductibles for the insurance coverage vary: For 2027, they start at $1,750 for one person and $3,500 for families. The maximum out-of-pocket limit is $8,700 for one person and $17,400 for a family.

To ease the sting of the deductible, users also qualify for an HSA. Either the user or the employer, or both, can make tax-deductible contributions to these accounts. The 2027 limit is $4,500 for one person and $9,000 for a family.

There’s also a “catch-up” contribution of up to $1,000 annually if the owner is age 55 or older. Note that for users with high annual health costs, say from a chronic disease, the out-of-pocket costs could be higher than the allowable HSA contribution.

So dollars go into the accounts tax-free. Then they grow tax-free. And if they are withdrawn for unreimbursed, qualified medical expenses, they are also tax-free.

That’s a tax trifecta. It’s a rare opportunity for those who are well—or well-off—enough to pay current medical expenses out of pocket and let invested

HSA dollars grow. But even HSA owners who spend their funds each year can save on taxes.

If you already have an HSA or are considering signing up for one, here are key details.

Reimbursements

To receive reimbursements from an HSA, users must have proof of qualified medical expenses. But they don't have to submit it to the account sponsor for approval. Reimbursements can be subject to audits by the IRS, but these seem to be rare.

HSA owners who delay reimbursements to let HSA assets grow can claim these paybacks later—even decades later. But they must have records supporting the claims. Many HSA owners digitize receipts to keep details straight, but a shoebox could also work.

Remember that HSA reimbursements cover a far wider range of health expenses than insurance. Among other things, they can be used for Medicare premiums (see below), a wig after chemotherapy, nursing-home expenses, a guide dog, contact-lens solution and even a home renovation to cope with disability. For the list, see IRS Publication 502.

What happens at age 65

At age 65, the account owner is free to make HSA withdrawals for any reason. However, these payouts are taxable as ordinary income, so using the account for tax-free health reimbursements is better if possible.

Also at age 65, HSA owners usually can enroll in Medicare. But those who do can no longer contribute to an HSA, even if they're still working and enrolled in HSA-compatible health insurance.

A recent bid to change the law on this provision failed, but backers plan to keep pursuing it.

However—and this is key—HSA owners on Medicare can use tax-free withdrawals from their accounts to pay Medicare premiums and copayments, including Irmaa income-based surcharges. An exception is Medigap premiums, which can't be reimbursed with HSA funds.

What happens at death

A spouse is the only person who can inherit an HSA tax-free, and the owner must name him or her as the beneficiary. A charity can also inherit the account if named as a beneficiary. That's also a tax trifecta.

If there's money in the HSA owner's account at death, the account terminates and income taxes are due. Nonspouse heirs have one year to claim tax-free reimbursements for eligible out-of-pocket expenses incurred up to the date of death, which reduces taxes.

Investments

HSA owners can invest account funds prior to withdrawing them, and nearly five million accounts do so. The average account size for HSA owners who invest their funds was nearly $24,000 recently, according to Devenir.

Many financial firms act as HSA providers. Employers offering HSAs typically choose them, much as they would 401(k) providers, and users who are unsatisfied may be able to switch providers. Several independent groups rate HSA sponsors, among them Morningstar.

Expansions benefiting ACA users

In 2026, new provisions took effect that benefit individuals with ACA coverage. They enable HSAs to be paired with Bronze and Catastrophic plans, which have the highest deductibles.

This change is good news for several groups. One is self-employed workers. Another is early retirees who use ACA coverage and aren't yet eligible for Medicare. Still another is the fairly small group who opt only for the ACA's catastrophic coverage.

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Laura Saunders has long specialized in writing about taxes, first at Forbes and since 2009 for the Wall Street Journal. "Taxes sit squarely at the intersection of economics and politics, with consequences for everybody," she says. When not writing about the code, she indulges her passion for literature and has…




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